

U.S. SMID-Cap Software

Datadog Inc

Rating

Market-Perform

Price Target



237.00 USD



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Datadog (DDOG): OpenAI's price reduction a tailwind? Maybe...

Today Datadog's stock finished up more than 11%, and we can't help wonder if some investors have been digesting OpenAI's recent move to discount their [GPT 5.6 Terra \(-20%\) and Luna \(-80%\) on July 30th](#). If the OpenRouter data is any indication, this definitely provided a healthy tailwind to OpenAI's token consumption (Exhibit 1). In fact, in the couple of weeks after the discount, we see consumption up ~2x relative to before. Could this be an early signal of strength for Datadog, and setup for potential overage in Q3 on the new OpenAI 9-figure contract they signed just weeks ago? In the past, growth periods like this have led to overage that became a nice upside tailwind, so we could understand the idea.

Caution: the answer may be nuanced. Now that Datadog underpins all the top 10 AI Labs (per last quarter's disclosure), it is important to understand if these individual model movements are genuinely net new token consumption or just basket shifting. For instance, if we see Anthropic's token consumption going down at the same time OpenAI is going up, then perhaps it's just a price war that doesn't generate overall more usage. We think Datadog will benefit most if it is genuinely more tokens overall, and not just basket shifting.

OpenAI is up... but Anthropic is down. We don't want to hastily jump to conclusions. In our published model we include a ~50% QoQ growth expectation for OpenAI and ~10% for Anthropic, and did this recognizing some near term dynamics. Signals of Anthropic's use have been weak so far this quarter (most recently coinciding with the [KIMI K3 release](#)). And the large tailwinds on OpenAI may also have some share shift from Anthropic. More releases are coming every day (Deepseek V4 Flash 0731 is the latest model with some incremental uptake). It is possible we'll see a price war break out. **It is possible the OpenRouter signal isn't great** — the users may be more price sensitive customers, or non-representative smaller / more nimble companies able to utilize routing (while most others can't).

Investment Implications

We are watching a host of signals to get a sense of overall market growth, how much open weight models may be stealing share from the AI Labs and so on. We caution over-rotating right now on the latest OpenAI momentum given dynamics as a whole may be more muted for Datadog. No change to our model, \$237 PT, or Market-Perform recommendation.

Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	25A	26E	27E
DDOG (USD)	2.05	2.70	3.45	Cost of Goods Sold (M)	686.96	966.90	1,254	--	EV/EBIT (x)	N/M	976	312
				FCF (M)	914.72	1,303	1,815	--	Adjusted P/E (x)	127.0	96.6	75.5
				Operating Earnings (M)	768.04	1,091	1,469	--	EV/FCF (x)	98.6	69.2	49.7
				Revenues (M)	3,427	4,577	5,896	31.2%	EV/Sales (x)	26.3	19.7	15.3

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

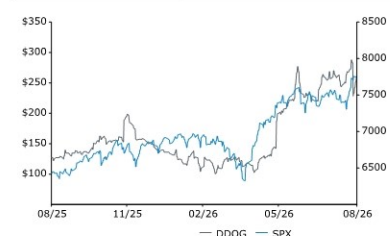
First Published: 11 Aug 2026 04:05 UTC Completion Date: 10 Aug 2026 22:35 UTC

www.bernsteinresearch.com

Close Date	10 Aug 2026			
DDOG Close Price (USD)	260.78			
Price Target (USD)	237.00			
Upside/(Downside)	(9)%			
52-Week Range	292.72/98.01			
SPX	7,753.11			
FYE	Dec			
Div Yield	NA			
Market Cap (USD) (M)	93,899			
EV (USD) (M)	90,192			
Performance	YTD	1M	6M	12M
Absolute (%)	91.8	1.3	101.1	99.2
SPX (%)	13.3	2.3	11.7	21.3
Relative (%)	78.5	(1.1)	89.4	77.9

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



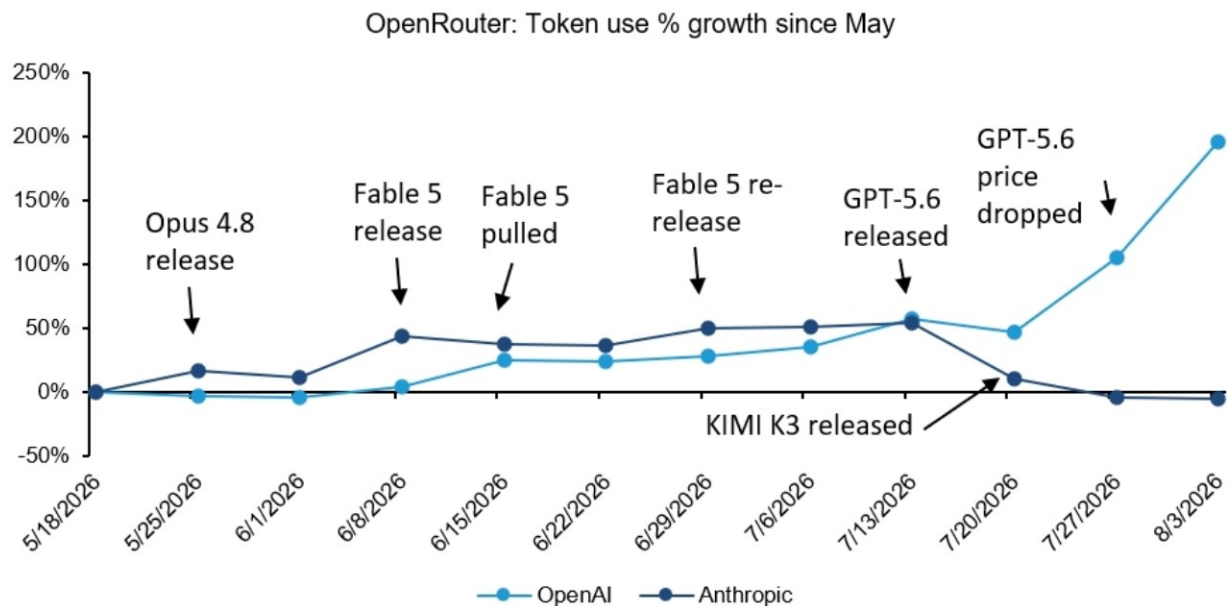
DETAILS

There are a lot of reasons to think [OpenRouter](#) and several other sources could serve as a useful signal for any change in consumption trends.

BUT! For investors watching, we remind that the data is not a comprehensive representation of the total token usage as it only tracks the usage routed through its platform, while a big portion of the usage is likely directly through OpenAI's own APIs or through hyperscalers. There are A LOT of potential (and likely) sample biases, such as the users are possibly more price sensitive or more flexible/agile in their ability to move. It may also indicate less strict enterprise controls or compliance requirements. Or the reason OpenAI is up so much in OpenRouter is its users are working on simpler tasks more easily handled by GPT 5.6 Terra and Luna, but that is not representative of the average mix of easy to hard tasks in the market as a whole.

For instance, other trends we watch, like [Amplifying](#), show a much less significant uptick in Codex use post price decreases. Of course this has its own particularities (it is open source repo focused, it estimates based on several signals itself), but the point is there are alternative views looking at the same model trends.

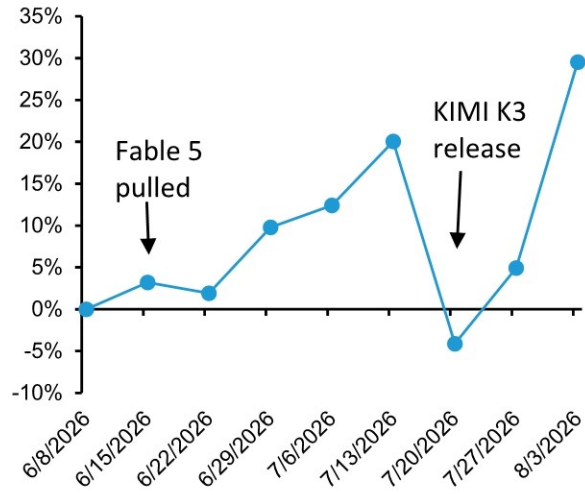
EXHIBIT 1: Weekly usage shows impact from major releases and competitive moves. When Fable 5 was pulled, it appears OpenAI may have benefitted, for instance. And OpenAI had a nice, but small bump after the release of GTP-5.6 (Sol, Terra, Luna). Over the last two weeks OpenAI's usage was up A LOT on the back of recent price cuts. At the same time, Anthropic appears to be lagging (perhaps also partially hit by KIMI K3 release)



Source: OpenRouter, Bernstein analysis

EXHIBIT 2: Combined usage growth has periods of net impact, and we are watching for signals of share shifting as opposed to total increases in token consumption.

OpenRouter: OpenAI + Anthropic token use % growth vs. June 8th



Source: OpenRouter, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 3: Datadog Financial Summary

Datadog \$ Thousands Income Statement (Non-GAAP)	2020 12/31/2020 2020	2021 12/31/2021 2021	2022 12/31/2022 2022	2023 12/31/2023 2023	2024 12/31/2024 2024	2025 12/31/2025 2025	Q126 3/31/2026 Q126	Q226 6/30/2026 Q226	Q326 9/30/2026 Q326E	Q426 12/31/2026 Q426E	2026 12/31/2026 2026E	2027 12/31/2027 2027E	2028 12/31/2028 2028E
Total Revenue	603,466	1,028,784	1,675,100	2,128,359	2,684,275	3,427,158	1,006,426	1,121,454	1,179,786	1,269,115	4,576,781	5,896,264	7,510,913
Cost of Revenue (Non-GAAP)	127,273	225,543	328,900	383,925	483,222	651,105	199,200	229,155	238,715	254,251	921,321	1,198,524	1,541,752
Gross Profit (Non-GAAP)	476,193	803,241	1,346,200	1,744,434	2,201,053	2,776,053	807,226	892,299	941,071	1,014,864	3,655,460	4,697,740	5,969,161
R&D (Non-GAAP)	172,511	309,684	504,847	627,902	758,268	1,038,742	300,351	325,075	341,330	354,115	1,320,871	1,672,498	2,055,643
S&M (Non-GAAP)	189,886	257,513	414,962	500,597	629,007	793,082	235,272	260,427	256,108	284,218	1,036,024	1,305,333	1,619,368
G&A (Non-GAAP)	50,195	70,986	100,111	125,692	139,565	176,184	48,106	49,766	55,450	54,572	207,894	251,031	299,327
Total Operating Expenses (Non-GAAP)	412,592	638,183	1,019,920	1,254,191	1,526,840	2,008,008	583,729	635,268	652,888	692,904	2,564,789	3,228,862	3,974,339
Operating Income (Non-GAAP)	63,601	165,058	326,280	490,243	674,213	768,044	223,497	257,031	288,184	321,959	1,090,671	1,468,878	1,994,822
Margin %	11%	16%	19%	23%	25%	22%	22%	23%	24.4%	25.4%	23.8%	24.9%	26.6%
Interest income and other, net	10,278	4,083	23,994	97,087	153,417	176,996	52,850	47,327	40,920	43,248	184,145	210,500	284,093
[Non-GAAP] Earnings before taxes	73,879	169,141	350,274	587,330	827,630	945,040	276,147	304,358	329,104	365,207	1,274,816	1,679,378	2,278,915
Provision for income taxes	(2,325)	(2,323)	(73,557)	(123,339)	(173,802)	(198,458)	(57,991)	(63,915)	(69,112)	(76,693)	(267,711)	(352,668)	(478,571)
Net income (loss)	71,554	166,818	276,717	463,991	653,828	746,582	218,156	240,443	259,992	288,514	1,007,105	1,326,709	1,800,344
Net income attributable to common shareholders	71,554	166,818	276,717	463,991	653,828	746,582	218,156	240,443	259,992	288,514	1,007,105	1,326,709	1,800,344
Earnings (loss) per share - Basic	\$0.24	\$0.54	\$0.88	\$1.43	\$1.94	\$2.15	\$0.62	\$0.67	\$0.72	\$0.80	\$2.81	\$3.59	\$4.74
Earnings (loss) per share - Diluted	\$0.22	\$0.48	\$0.80	\$1.32	\$1.82	\$2.05	\$0.60	\$0.65	\$0.69	\$0.76	\$2.70	\$3.45	\$4.59
Balance Sheet	2020	2021	2022	2023	2024	2025	Q126	Q226	Q326E	Q426E	2026E	2027E	2028E
Cash and cash equivalents	224,927	270,973	338,985	330,339	1,246,983	401,305	426,360	434,957	528,667	573,542	573,542	754,520	996,319
Marketable securities	1,292,532	1,283,473	1,545,341	2,252,559	2,942,076	4,073,531	4,332,257	4,550,481	4,779,111	5,183,585	5,183,585	6,883,569	9,178,113
Receivables	163,359	268,824	399,551	509,279	598,919	741,262	680,434	827,345	739,176	946,537	946,537	1,168,890	1,417,518
Other current assets	37,262	47,678	60,357	85,960	123,137	186,182	186,155	195,774	198,725	219,335	219,335	268,248	300,089
Total current assets	1,718,080	1,870,948	2,344,234	3,178,137	4,911,115	5,382,280	5,625,206	6,008,557	6,245,680	6,922,998	6,922,998	9,075,227	11,892,040
Total PPE	47,197	75,152	125,346	171,872	226,970	338,093	378,944	409,634	447,740	488,334	488,334	648,364	847,471
Other assets	125,008	434,694	535,272	586,063	647,254	923,471	947,862	1,129,484	1,129,801	1,142,649	1,142,649	1,173,668	1,173,394
Total assets	1,890,285	2,380,794	3,004,852	3,936,072	5,785,339	6,643,844	6,952,012	7,547,675	7,823,220	8,553,982	8,553,982	10,897,260	13,912,905
Accounts payable	21,342	25,270	23,474	87,712	107,731	148,791	174,801	313,529	248,775	269,342	269,342	398,032	523,139
Other current liabilities	276,502	503,426	736,274	915,340	1,120,959	1,442,610	1,481,102	1,561,456	1,589,690	1,939,166	1,939,166	2,567,441	3,329,793
Total current liabilities	297,844	528,696	759,748	1,003,052	1,262,713	1,591,401	1,655,903	1,874,985	1,838,466	2,208,508	2,208,508	2,965,473	3,852,932
Deferred revenue, non-current	3,450	13,896	12,944	21,210	22,693	68,711	50,918	50,860	53,829	72,460	72,460	91,880	118,792
Other liabilities, non-current	631,559	796,999	821,655	886,456	1,185,570	1,251,526	1,256,969	1,254,670	1,271,797	1,289,480	1,289,480	1,362,911	1,442,592
Total non-current liabilities	635,009	810,895	834,599	907,666	1,208,263	1,320,237	1,307,887	1,305,530	1,325,626	1,361,940	1,361,940	1,454,791	1,561,384
Total Liabilities	932,853	1,339,591	1,594,347	1,910,718	3,070,976	2,911,638	2,963,790	3,180,515	3,164,092	3,570,448	3,570,448	4,420,263	5,414,315
Total Equity	957,432	1,041,203	1,410,505	2,025,354	2,714,363	3,732,206	3,988,222	4,367,160	4,659,128	4,983,533	4,983,533	6,476,996	8,498,590
Total Liabilities and Equity	1,890,285	2,380,794	3,004,852	3,936,072	5,785,339	6,643,844	6,952,012	7,547,675	7,823,220	8,553,982	8,553,982	10,897,260	13,912,905
Balance Sheet Check	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash Flow Statement	2020	2021	2022	2023	2024	2025	Q126	Q226	Q326E	Q426E	2026E	2027E	2028E
Cash used for operating activities	109,091	286,545	418,407	659,954	870,603	1,050,135	334,622	315,872	362,569	492,335	1,505,398	2,078,474	2,819,415
Cash used for investing activities	(1,152,624)	(273,740)	(384,670)	(731,365)	(736,840)	(1,334,480)	(314,798)	(349,879)	(273,117)	(452,662)	(1,390,455)	(1,920,279)	(2,603,286)
Cash used for financing activities	670,276	34,940	36,023	58,279	787,083	(572,483)	9,711	41,821	4,258	5,202	60,992	22,783	25,670
Effect of exchange rate changes on cash and cash equivalents	779	(1,993)	(1,935)	1,183	(4,202)	11,150	(4,480)	783	-	-	(3,697)	-	-
Increase (decrease) in cash, cash equivalents, and restricted cash	(372,478)	45,752	67,825	(11,949)	916,644	(845,678)	25,055	8,597	93,710	44,875	172,237	180,978	241,799
Cash, cash equivalents and restricted cash at beginning of period	601,189	228,711	274,463	342,288	330,339	1,246,983	401,305	426,360	434,957	528,667	401,305	573,542	754,520
Cash, cash equivalents and restricted cash at end of period	228,711	274,463	342,288	330,339	1,246,983	401,305	426,360	434,957	528,667	573,542	573,542	754,520	996,319
Cash flow from operations	109,091	286,545	418,407	659,954	870,603	1,050,135	334,622	315,872	362,569	492,335	1,505,398	2,078,474	2,819,415
FCF	83,208	250,520	353,518	597,548	775,103	914,717	289,091	278,704	304,974	430,379	1,303,148	1,814,735	2,483,453

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			10 Aug 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
DDOG (Datadog)	M	USD	260.78	237.00	77.9%	USD	2.05	2.70	3.45	127.0	96.6	75.5
SPX			7,753.11									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Datadog Inc**

Our price target of \$237 is an average of DCF (with 11% WACC and 3% terminal growth) and P / Sales (Next 5-8Q) comp multiple. P / Sales (Next 5-8Q) comp multiple of 16x is based on a peer-SaaS regression in their relevant >10% OpM Cloud SaaS cohort from our "Rule-of-40" based valuation framework analysis. We assume current Cloud SaaS multiples regression line remains consistent for 1+ year.

RISKS**Datadog Inc**

Downside risks beyond the macroeconomic risks include: increased competition from well-funded competitors in the industry; margin expansion slower than expected due to worse scale leverage in operating costs items; execution missteps or missed earnings expectations could lead to significant downside given the current valuation. Upside risks include: better product traction than expected, better than anticipated pace of new cloud workloads going into production, more major AI-customer wins, more upside in "Born-in-AI" customer growth.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors

on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

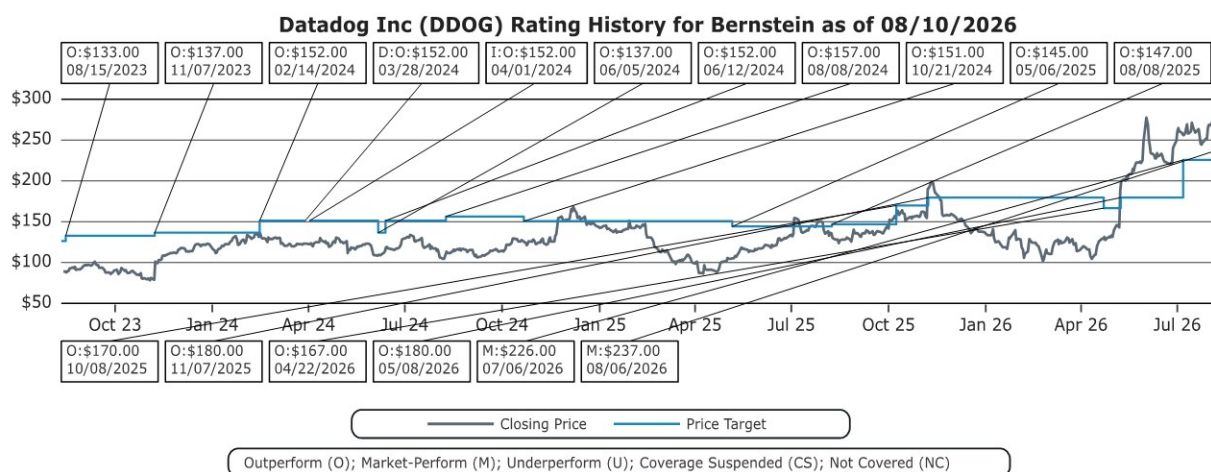
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: Datadog Inc.



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Datadog Inc.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

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- +212 Société Générale Africa Technologies & Services; Casablanca, Morocco
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- +41 Bernstein Autonomous LLP; Geneva, Switzerland
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